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This research draws from the psychodynamic perspective of social identity theory to examine the causal effect of mergers and acquisitions involving a mismatch of external images on the sales force. Study 1, a natural longitudinal experiment, shows that a merger with a poorer-image firm immediately dilutes salespeople's organizational identification (OI), which in turn impairs their performance. As sense makers, salespeople who are more tenured experience stronger OI dilution, whereas those who perceive a high level of social inclusion experience weaker OI dilution. As sense givers, managers who emphasize the firm's strategic intent in their communication buffer the OI-dilution effect, whereas those who emphasize the firm's organizational culture aggravate the effect. Study 2, a scenario-based experiment, further demonstrates that the OI-dilution effect is stronger than the OI-enhancement effect from merging with a better-image firm. Furthermore, both studies confirm that the adverse effect of mergers and acquisitions that involve a mismatch of external image stems from image uncertainty rather than job uncertainty.

Keywords: mergers and acquisitions, sales force management, organizational image, organizational identification, natural experiment

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The Impact of Mergers and Acquisitions on the Sales Force

Mergers and acquisitions (M&As) are an important strategic option for organizations to remain competitive in the global market. For example, in 2015, more than 10,000 M&As involved U.S. organizations, and their value surpassed \$2 trillion (Sinclair 2015). Ironically, 70%–90% of M&As fail to create value for the acquirer (Christensen et al. 2011). Prior research has attributed M&A successes and failures to either strategic fit between the merging firms (the strategic management perspective) or sociocultural issues during integration (the organizational behavior and social psychology perspective). Although extant

marketing literature on M&As drawing primarily from the strategic management perspective has provided useful insights into the marketing implications of M&As, three important research gaps remain.

First, prior marketing research on M&As has primarily focused on the impact of M&As on various stakeholders, including the acquiring firm's marketing department (Homburg and Bucerius 2005), customers (Papavasileiou, Swain, and Bhattacharya 2008), and marketing managers (Richey et al. 2008). To our knowledge, no marketing research has explored how M&As influence salespeople. This is surprising because salespeople play a vital role in personal marketing communication and shaping customer perception (Homburg, Wieseke, and Hoyer 2009). Furthermore, sales force expenses are one of the largest marketing expenditures for firms, more than three times advertising expenditure in the United States (Steenburgh and Ahearne 2012). Second, the marketing literature on M&As has primarily focused on long-term, firm-level performance measures, including long-term financial returns (Sorescu, Chandy, and Prabhu 2007), market share and profitability (Homburg and Bucerius 2005), and innovation performance (Prabhu, Chandy, and Ellis 2005). However, the

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impact of M&As on sales performance, at both the firm and individual salesperson levels, has received less attention. Insights into drivers and boundary conditions of sales force performance during M&As are important because they enable managers to better manage sales force efficiency during times of turbulence. Third, marketing research on the impact of external image mismatch in M&As is lacking. We define “external image” as the perceptions that organization members believe others outside the organization hold of the organization (Brown et al. 2006) and “external image mismatch” as the extent to which the external images of the acquirer and the acquired are dissimilar. External image mismatch is an important marketing phenomenon to examine because more than 30% of the M&A transactions involve organizations with different images (Wiles, Morgan, and Rego 2012) and the majority of executives (87%) rate threats to the organizational image as more important than other strategic risks (Deloitte 2014).

Through two studies, we investigate how M&As that involve an external image mismatch affect the sales force. Specifically, drawing from the psychodynamic perspective of social identity theory (Gioia, Schultz, and Corley 2000), we investigate how and when these M&As affect salespeople’s organizational identification (OI), defined as perceived psychological oneness with the organization (Ashforth and Mael 1989), and subsequently salesperson performance. In Study 1, a natural longitudinal experiment, we investigate the causal impact of a merger between a national retailer (the focal firm) and a regional, poorer-image retailer on salesperson OI and objective performance. We also examine two groups of moderators that correspond to sense giving and sense making. “Sense giving” refers to managerial attempts, such as through various emphases in communication, to guide and shape salespeople’s understanding of a preferred organizational reality (Gioia and Chittipeddi 1991). Conversely, “sense making” involves salespeople’s construction of meaning based on their own experiences and perceptions as they attempt to develop an understanding of their organization. In Study 2, a scenario-based experiment, we replicate and extend Study 1 by investigating the impact of merging with either better- or poorer-image firms and provide further evidence of the underlying mechanism.

This research makes four contributions. First, we shed more light on the impact of M&As on one of the most important but largely neglected drivers of firm revenues: the sales force. Second, our focus on external image mismatch as the cause of salesperson OI change during M&As provides an alternative explanation for the impact of M&As on the firm’s bottom line, an issue that prior research in marketing and allied fields has traditionally attributed to strategic integration and internal cultural issues. Specifically, in Study 1, in regions directly affected by the merger, we find that salespeople’s OI decreased by 11% right after the merger and before actual integration, which translates into a substantial decrease of 3.4% in sales revenues. Third, by delineating the roles of sales managers as sense givers and salespeople as sense makers, we extend the current understanding of M&A influence on the social construction of OI during the “honeymoon” phase that occurs right after a merger but before integration. Importantly, the differential moderating effects of the emphases of managers’ communication indicate that internal marketing and communication tactics that are effective during normal times can actually backfire during M&As.

Finally, we shed light on the impact of image uncertainty following M&As with a mismatch of external image.

BACKGROUND LITERATURE

Schools of Thought on M&As

We summarize two major schools of thought on M&As and the uniqueness of our research in Web Appendix W1. At the macro level, the strategic management school generally focuses on strategic fit issues. Prior marketing research has primarily drawn from this school, focusing on issues such as marketing capabilities and positioning relatedness (Wiles, Morgan, and Rego 2012), product capital (Sorescu, Chandy, and Prabhu 2007), strategic emphasis (Swaminathan, Murshed, and Hulland 2008), resource redeployment (Capron and Hulland 1999), innovation (Rao, Yu, and Umashankar 2016), marketing integration (Homburg and Bucerius 2005), and brand-related issues (Bahadir, Bharadwaj, and Srivastava 2008). However, no research in marketing has investigated how M&As influence salespeople.

At the micro level, the organizational behavior and social psychology school focuses on sociocultural issues of M&As. Our research applies the micro-level school of thought to the marketing domain but diverts from it in several ways. More importantly, we focus on the impact of the mismatch of external image of the two merging firms on salespeople during the honeymoon phase and before actual integration. This shift in focus sheds light on the neglected effect of external image, an important construct in identity-based marketing research (Bhattacharya, Rao, and Glynn 2005), on the sales force, an internal stakeholder whose behavior has important implications on the firm’s marketing and sales performance (Wieseke et al. 2009). Furthermore, we extend the current understanding of identity construction in the context of M&As by delineating between sales managers’ sense giving and salespeople’s sense making.

OI and External Image

OI. Building on social identity theory (Tajfel 1974), Ashforth and Mael (1989) developed the concept of OI. In the marketing domain, research has shown that OI is a strong driver of salesperson and business unit performance, beyond job satisfaction (Homburg, Wieseke, and Hoyer 2009). Why do people identify with their organization? Our literature review reveals three main motives: (1) to enhance their own self-esteem, which reflects their subjective, emotional evaluation of their own worth (Ashforth, Harrison, and Corley 2008); (2) to maintain consistency in their self-views (beliefs and feelings about themselves) over time and across roles (also known as self-verification; Swann, Stein-Seroussi, and Giesler 1992); and (3) to accentuate their self-distinctiveness in interpersonal contexts (Tajfel 1974).

External image. The extent to which people identify with an organization depends on how well its identity satisfies the three motives. Here, organizational identity refers to “who we are” as an organization (Albert and Whetten 1985). Within the firm, culture, which refers to “how we do things around here” (Louis 1980), forms “the context within which identity is established, maintained, and changed” (Hatch and Schultz 1997, p. 363). Externally, the way outsiders perceive firm members “can influence organizational identity as members mirror themselves in the comments (and complaints) about the organization made to them by their external contacts” (Hatch and

Schultz 1997, p. 362).¹ According to the psychodynamic approach to identity (Gioia, Schultz, and Corley 2000), it is this interrelationship among organizational culture, organizational identity, and external image that makes organizational identity a relatively fluid, unstable, and mutable concept.

Drawing from this perspective, prior research has primarily identified internal sociocultural issues as the cause of OI change during M&As. By focusing on the transitional phase of M&As, which occurs before internal cultural integration, we can single out the mismatch of external image during M&As as the cause of OI change among salespeople. We focus on salespeople because, as boundary spanners, they frequently receive information about how outsiders (e.g., customers) judge the firm's identity and, by extension, their own identity. Thus, change in their self-image is deeply tied to change in the firm's external image.

CONCEPTUAL FRAMEWORK AND RESEARCH HYPOTHESES

Conceptual Framework

Our conceptual framework (see Figure 1) encompasses research hypotheses that we test in two studies. In Study 1, we propose that M&As with a poorer-image firm adversely affect, or dilute, salespeople's OI, which in turn reduces their performance. We also examine five boundary conditions of this OI-dilution effect. At the manager level, we focus on three sense-giving moderators that capture managers' communication emphases: organizational culture, distinctiveness, and strategic intent. We chose these three communication emphases because they correspond to the organization's past, distinctive, and future elements. We define an emphasis on organizational culture as the level of emphasis a manager puts on shared values, beliefs, symbols, and artifacts (Barney 1986; Schein 1990). An emphasis on organizational distinctiveness reflects the level of emphasis a manager puts on the elements that distinguish the organization from its competitors. Finally, an emphasis on strategic intent refers to the level of emphasis a manager puts on the organization's purpose, goals, and future direction. At the salesperson level, we focus on salesperson tenure, defined as how long a salesperson has been with the organization, and social inclusion, defined as a salesperson's perception of the prevalence of a team spirit in the organization. In Study 2, we examine the effect of M&As with either a poorer-image firm or a better-image firm on salesperson OI. We also attempt to replicate the effects of the two salesperson-level moderators. Next, we present the rationale for the research hypotheses.

Impact of M&As on Salespeople's OI

In an M&A in which the two organizations have different external images, a central concern is what changes will occur in the external images of each party (Haunschild, Moreland, and Murrell 1994). This concern is particularly robust in an M&A with a poorer-image firm because of the potential negative spillover of a poor image (Štrach and Everett 2006). We argue that this compromised external image transfers to salespeople (Sutton and Callahan 1987), resulting in a threat to their

motives to identify with the firm, including self-esteem, self-verification, and self-distinctiveness (Eilam and Shamir 2005).

First, self-esteem forms and shifts partly according to their beliefs about how others view their employing organization. In a merger with a poorer-image firm, the image of the focal firm is compromised. Because salespeople use this image to understand how outsiders perceive them, a compromised image creates a poor-image shock that threatens their self-esteem. In turn, salespeople are likely to reduce their identification with the organization to protect their self-esteem. Second, people are drawn to organizations they perceive as similar to themselves because this link enables them to remain consistent over time and across roles. However, during a merger with a poorer-image firm, the impaired organization's image creates a discontinuity, triggering self-verification motives and, thus, efforts to gather feedback from others to confirm perceptions of the self (Van Knippenberg and Van Leeuwen 2001). To obtain self-verifying responses from others, salespeople likely distance themselves from the firm whose image is compromised. Third, people gain a sense of distinctiveness from their organization's distinctiveness. Because a merger with a poorer-image organization can also compromise these distinctive elements, salespeople's perceived psychological oneness with the focal firm will likely decline. Because OI, in turn, is predictive of salesperson performance (Wieseke et al. 2009), we propose OI dilution as the mechanism that leads to a decrease in salespeople's performance.

H₁: When their employing organization merges with an organization with a poorer image, (a) salespeople's OI weakens, which (b) leads to lower sales performance.

Boundary Conditions of the Impact of M&As

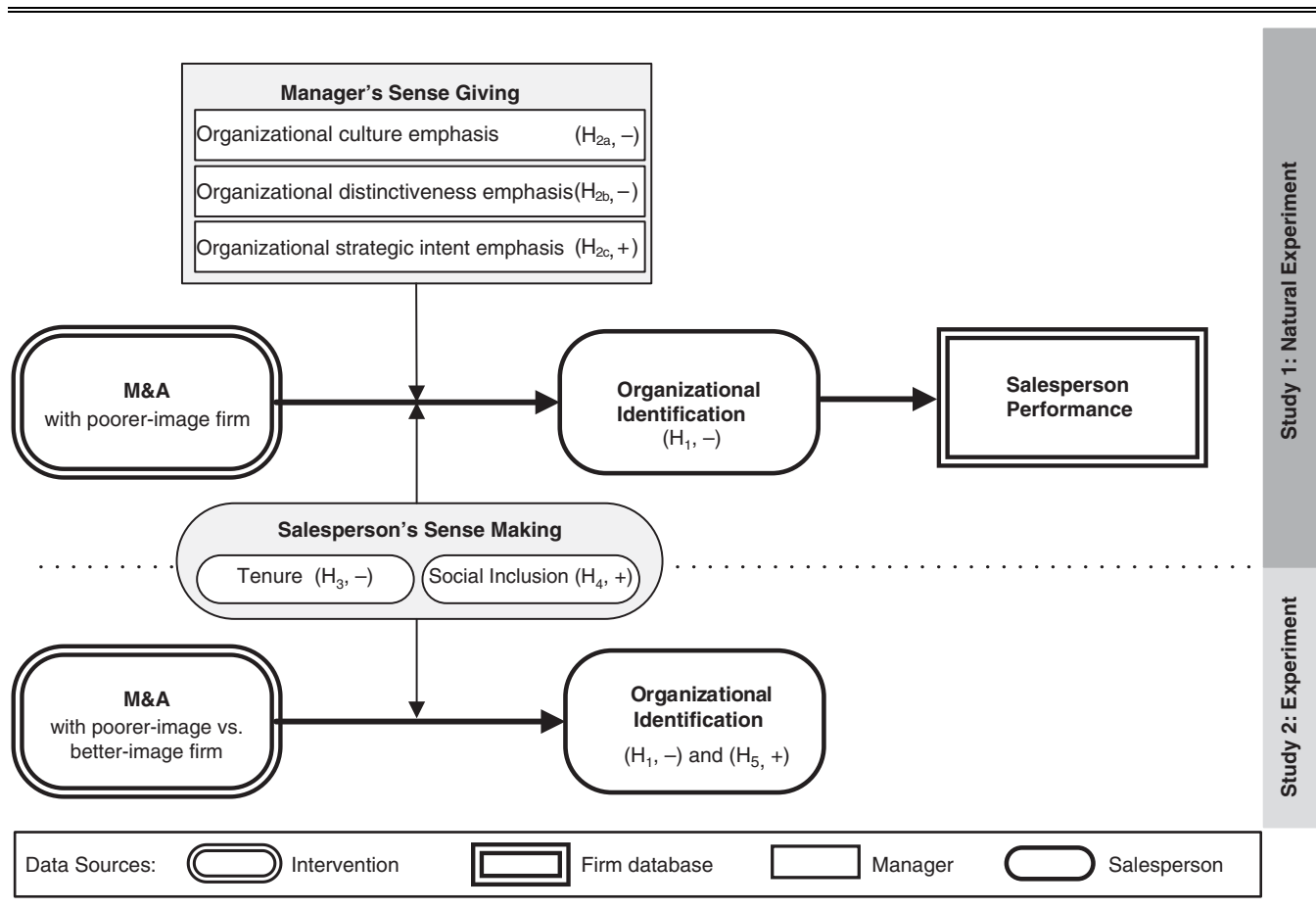
Sense giving. Managerial communication is an important component in inducing OI (Smids, Pruyn, and Van Riel 2001). However, previous research has largely ignored the specific communication emphases that managers use to shape identification during a change event. In this research, we examine three managerial communication tactics: an emphasis on organizational culture, an emphasis on organizational distinctiveness, and an emphasis on strategic intent.

Organizational members who believe that their organization has a superior culture are likely to develop strong levels of OI (Ravasi and Schultz 2006). Therefore, highlighting the cultural elements of an organization during normal times can enhance OI. However, an M&A with a poorer-image firm prompts salespeople to reflect on their own identity in relation to existing organizational self-definitions that are embedded in cultural understanding (Hatch and Schultz 1997). In this situation, differences between the internal and external views of the organization create a discrepancy in salespeople's identity, in that they view themselves more positively than outsiders do. To maintain consistency in their identity, they are likely to distance themselves from the merged organization. Because salespeople working for a manager who emphasizes the cultural elements in his or her communication are reminded of the firm's values and norms, their current identity is stabilized, driving them to become more backward looking and protective of those values and norms (e.g., Schein 1990). As a result, they experience greater discrepancy in their identity and are likely to exhibit more dilution in their OI.

Furthermore, because people are intrinsically motivated to maintain positive distinctiveness, salespeople who believe that

¹Organizational identity should not be confused with OI, which refers to perceived psychological oneness. Just as organizational culture and external image differ in locus (internal vs. external), changeability (distant vs. immediate), and controllability (high vs. low), concerns about culture change also differ from concerns about external image change.

Figure 1
CONCEPTUAL FRAMEWORK: EFFECT OF A MERGER ON INTERNAL STAKEHOLDERS' OI AND PERFORMANCE



their organization is distinctive are likely to possess strong levels of OI (Dutton, Dukerich, and Harquail 1994). Therefore, salespeople working for managers who emphasize the distinctive elements of the organization during normal times should exhibit higher OI. However, when merging with a poorer-image organization, these salespeople are likely to perceive more image differences between the two organizations, which creates a greater discrepancy in self-image. As we argued previously, to protect their self-esteem and maintain self-continuity, these salespeople are likely to exhibit more dilution in their OI.

In contrast, managers can protect their salespeople's OI after a merger by emphasizing strategic intent, such as reminding salespeople about the firm's mission, vision, and strategic direction. During times of upheaval, articulating the organization's strategy and vision destabilizes salespeople's current identity. Such an emphasis, therefore, enables salespeople to become more forward looking in their interpretation of the merger and focus on a desired future image rather than current issues (Gioia and Chittipeddi 1991). As a result, they become more understanding of the necessity and uncertainty associated with the merger. The perceived necessity of the merger (Giessner 2011) and reduced uncertainty (Ullrich, Wieseke, and Van Dick 2005) should in turn offset the negative impact of the M&A on OI. Thus,

H_2 : When their employing organization merges with an organization with a poorer image, salespeople working for a manager who puts a stronger emphasis on the organization's (a) culture or (b) distinctiveness experience more dilution in OI, whereas salespeople working for a manager who puts a stronger emphasis on its (c) strategic intent experience less dilution in OI.

Sense making. Sense making is a social process in which, through informal communication, salespeople come to understand the organizational values, emulate them, and, then, internalize them. Sense making leads to identification through three distinct paths: epiphany, emulation, and exploration (Press and Arnould 2011). Epiphany occurs when a salesperson feels an immediate connection with the organization. Emulation is a process in which a salesperson develops OI after multiple occurrences of sense-giving and sense-making efforts. In the exploration path, salespeople compare the ideal represented by the organization with their own ideals and use the organizational elements to define their own identity.

The longer salespeople remain with an organization, the more opportunities they have to emulate and explore identities of the self and the organization and, as a result, develop stronger OI. We argue that a change in the organization-defining elements more strongly affects longer-than shorter-tenured salespeople's motives for OI. In particular, the negative change in the organization's image is a greater threat to the self-esteem of

longer-tenured salespeople, who derive their self-esteem mainly from this salient organizational membership (Kramer 1991). Furthermore, as the organization is their principal source of distinctiveness, a loss of organizational distinctiveness makes it more difficult for longer-tenured salespeople to remain distinctive. Finally, as these salespeople likely have a deeply rooted sense of identification—what Rousseau (1998) refers to as deep structure identification—the discontinuity in the organizational image poses a greater threat to the continuity of their own self-image.

H₃: When their employing organization merges with an organization with a poorer image, longer-tenured salespeople experience more dilution in OI.

Salespeople who perceive high social inclusion feel accepted and part of the team. Because higher social inclusion leads to information sharing, open discussions, and strong emotional and social support, we expect social inclusion to act as a buffer to threats that arise during M&As. Moreover, social acceptance leads to higher self-esteem (Leary et al. 1995), and the shared spirit and trust reduce uncertainty in the environment, helping to mitigate the negative effects of M&As on OI (Ullrich, Wieseke, and Van Dick 2005). In contrast, people who sense low social inclusion have less information, receive less emotional or social support, and experience greater uncertainty. Thus,

H₄: When their employing organization merges with an organization with a poorer image, salespeople who are socially included experience less dilution in OI.

STUDY 1: A NATURAL EXPERIMENT

Empirical Context

We examine a merger between a national retailer and a regional retailer in the United States. Both privately held retailers sell ten national brands of durable goods, at prices ranging from \$199 to \$4,500. They employ between two and four salespeople per store to sell products to consumers. The selling task is individual, so each sale is attributed to one salesperson. At the time of the merger, the regional chain had a presence in two states, and the national retail chain had a broad presence in multiple states, including the two states in which the regional chain operated. These two states constitute the overlapping region for our study and the region where only the national retailer had a presence is the nonoverlapping region. At the time of their merger, estimated annual revenues were \$700 million for the national retailer and \$230 million for the regional retailer, earned in 600 and 180 stores, respectively. In the overlapping region, the national retailer had 240 stores, with approximate revenues of \$300 million. Thus, we can infer that within the overlapping region, the two retailers were of comparable size.

This merger provides a compelling context for examining the impact of a merger with a poorer-image organization on OI for three reasons. First, the retailers had starkly different organizational images. The national retailer was known to be customer oriented, as reflected in the Better Business Bureau's accreditation standards, whereas the regional chain was rated lower, primarily from consumers' complaints of deceptive sales and marketing practices. Employees echoed similar sentiments about the organizations. According to a Glassdoor survey² conducted in 2014, 70% of the employees of the

national retailer would recommend their workplace, whereas less than 30% of employees of the regional chain would recommend working for their retail chain. Given this context, the salespeople in the overlapping region were concerned about the negative spillover effect of the regional retailer's image. In contrast, the salespeople in the nonoverlapping region were not aware of or concerned about the regional retailer's image. Therefore, the national retailer's image was at risk only in the overlapping region. As such, the national retailer's salespeople working in the overlapping region represent the treatment group, and the salespeople working in the nonoverlapping region offer a control group. This exogenous variation provides a natural experiment. Moreover, this comparison is reasonable given that the national retailer earned roughly half its business from each region.

Second, the merger was not a threat to salespeople's employment opportunities. Specifically, the chief executive officer of the national retailer conveyed on the day of the merger announcement that the purpose of the merger was for market expansion and specified that the merger would not affect the employment opportunities at the parent firm. In other words, there was no uncertainty about the salespeople's future employment. As a result, the salespeople were not worried about their job prospects but rather were concerned about the salient image differences between the retailers. This enables us to tease out the impact of image differences on the salespeople's OI.

Third, the integration of the two retailers took place after the study period, six months after the merger announcement. Thus, no operational changes (e.g., redeployment of sales forces, changes in procedures or policies) occurred during our study period. This helps rule out confounds that could have an impact on OI. For example, cultural differences, an often-cited reason for merger failures, could come into play during the integration process. Without such confounds during the study period, we could tease out the effect of image differences. In addition, the merger announcement stated that the operational changes during the integration process would be minimal at the national retailer, further confirming that operational changes do not confound our results.

Data

We assess the impact of the merger on salespeople employed by the national retailer, the focal firm for our study. The national retailer provided personnel records and permitted us to collect survey data from these salespeople. The personnel records include information on individual sales performance, tenure, and other observational data. To collect primary data, we sent out surveys each month, starting six months before the merger announcement and continuing until six months after it. We thus collected data over a span of 13 months. In the salesperson survey, we included items to capture OI and social inclusion. We also conducted a separate survey of these salespeople's managers to capture their OI-building efforts. In each of the 13 months, we sent surveys to all 3,000 salespeople and all 80 managers. After excluding salespeople who answered either only before or only after the merger, we retained 2,054 responses from 367 salespeople and 458 responses from 64 managers.

Measures

We measured OI with Mael and Ashforth's (1992) six-item scale. To measure social inclusion, we adapted Jaworski and Kohli's (1993) esprit-de-corps scale. We measured performance

²To uphold the anonymity of the two retailers, we do not provide the URL of the Glassdoor survey.

in terms of both quota achieved and revenue. For sense giving, we developed new measures to assess managers' communication emphases on organizational culture, distinctiveness, and strategic intent. We integrated Barney's (1986) and Schein's (1990) definitions of culture to develop measures for communication emphasis on culture. We used Albert and Whetten's (1985) conceptualization of distinctiveness and enduring characteristics of an organization to develop measures for communication emphases on distinctiveness and strategic intent, respectively. We generated a pool of sample items and refined them on the basis of feedback from sales executives and managers of the focal organization, as well as academic researchers. We pre-tested the measures with 56 salespeople; after further refinement of the items, we conducted another pretest with 30 salespeople. Top management can also function as sense givers. Although we do not have a direct measure of top management communication during the merger, this is not a major concern, because this top-down communication was consistently positive in tone and did not vary between stores. A full list of our construct measures appears in Web Appendix W2. We report the intercorrelations and descriptive statistics, as well as reliability and validity estimates when appropriate, for the variables used in this study in Web Appendix W3. All the survey measures have reliabilities greater than the threshold of .70 (Bagozzi and Yi 2012). In addition, we conducted a test of discriminant validity for the three managerial actions. The average variance extracted for the three managerial actions (emphases on culture, distinctiveness, and strategic intent) are .70, .64, and .75 respectively. All three constructs have an average variance extracted that is higher than any of the bivariate correlations between them, establishing discriminant validity (Fornell and Larcker 1981).

Empirical Models

To estimate the effect of the merger on the salespeople's OI, an experimental setting would ideally include two similar organizations and compare their salespeople's OI after one of the randomly chosen organizations merged with an organization that has a poorer image. To approximate this ideal, we compare changes in the OI of the salespeople affected by the merger (i.e., in the overlapping region) with changes in the OI of the salespeople from the same organization not affected (i.e., in the nonoverlapping region).

(Panel) fixed effects difference-in-differences. We use the following specification for our fixed-effects model to estimate the effect of the merger on OI:

$$OI_{it} = \alpha_i + \lambda_t + \beta_1 \times T_{it} + \varepsilon_{it},$$

where subscript *i* refers to a salesperson and subscript *t* to the period (month); OI_{it} is salesperson *i*'s OI in period *t*; α_i are salesperson fixed effects that are unobservable but constant over time; λ_t are period fixed effects, which capture any unique period effects that influence all salespeople; T_{it} is equal to 1 if salesperson *i* is affected by the merger by time *t*; and β_1 is the coefficient of interest that captures the causal effect of the merger on salespeople's OI in the focal firm.

Multilevel model. We hypothesize that the treatment effect varies depending on salesperson characteristics (tenure and social inclusion) and managerial communication (emphases on culture, distinctiveness, and strategic intent). As Figure 1 shows, two of the moderating relationships operate at the level of the salesperson (Level 1), and the managerial actions operate at the level of the sales district (Level 2). Given this, the classical regression assumptions are difficult to meet. Thus, we employ a multilevel modeling approach that relaxes these assumptions and helps us assess these moderating relationships. To test our full model, a moderated-mediation model, we adapt Preacher and Hayes's (2004) procedure for our context. We present the multilevel model, the moderated-mediation procedure and results, and other model specifications as a robustness check in Web Appendix W4.

Results

The descriptive statistics for the treatment and control groups before the merger in Table 1 show that the two groups were similar. The standardized mean differences for all variables, computed by dividing the difference in means by the standard deviation of the treatment group, were below .25, indicating a good balance between the groups. We depict the mean OI values and salesperson performance for the treatment and control groups for each period, before and after the merger in Figures 2 and 3, respectively. Before the merger, the mean differences are not statistically significant, and OI is stable for both the treatment and control groups. To test H_1 , which predicts that a merger with an organization with a poorer image destabilizes the OI of salespeople in the focal organization and

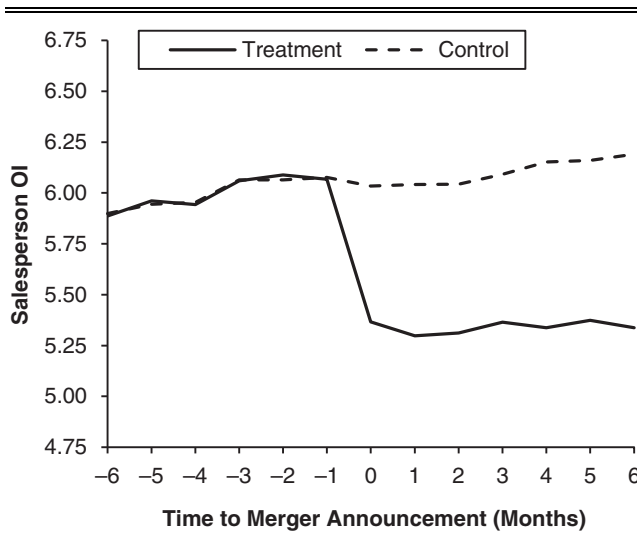
Table 1
MEAN DIFFERENCES IN VARIABLES BETWEEN TREATMENT AND CONTROL GROUPS BEFORE THE MERGER

	Control Group		Treatment Group		Mean Diff.	Standardized Mean Diff.
	Mean	SD	Mean	SD		
OI	6.01	1.05	6.01	1.12	.00	.00
Tenure	767	829	750	868	−17	.02
Social inclusion	5.72	1.05	5.79	1.00	.07	.07
Emphasis on org. culture	5.88	.75	5.86	.61	−.03	−.04
Emphasis on org. distinctiveness	4.81	.68	4.75	.54	−.06	−.11
Emphasis on strategic intent	5.28	.55	5.38	1.16	.10	.09
Performance (sales/quota)	1.01	.68	1.00	.67	.00	−.01
Performance (monthly revenue in \$)	36,148	15,367	38,565	18,044	2,417	.13

Notes: For all the variables, the group mean differences are not significant at the 95% confidence level. The difference in means between the treatment and control groups, divided by the standard deviation of the treatment group, provides the standardized mean difference. Better balance across groups is required if this value is greater than .25 (Ho et al. 2007). Number of observations: control group *n* = 472; treatment group *n* = 577.

Figure 2

MODEL-FREE RESULTS: AVERAGE SALESPERSON OI BEFORE AND AFTER MERGER ANNOUNCEMENT



reduces their performance, we first compared the OI trajectories of the treatment and control groups before and after the merger. The OI in the treatment group declined (mean difference = $-.674, p < .01$) from the pre- ($OI_{pre} = 6.011$) to the post- ($OI_{post} = 5.336$) merger periods; in contrast, the merger did not affect the control group's OI (mean difference = $-.076$, n.s.; $OI_{pre} = 6.010$, $OI_{post} = 6.078$). As Figures 2 and 3 show, the OI and performance of the treatment group declined sharply at the merger announcement date, while the control group's OI remained stable. This model-free estimation thus confirms our contention that an M&A can destabilize salespeople's OI and performance.

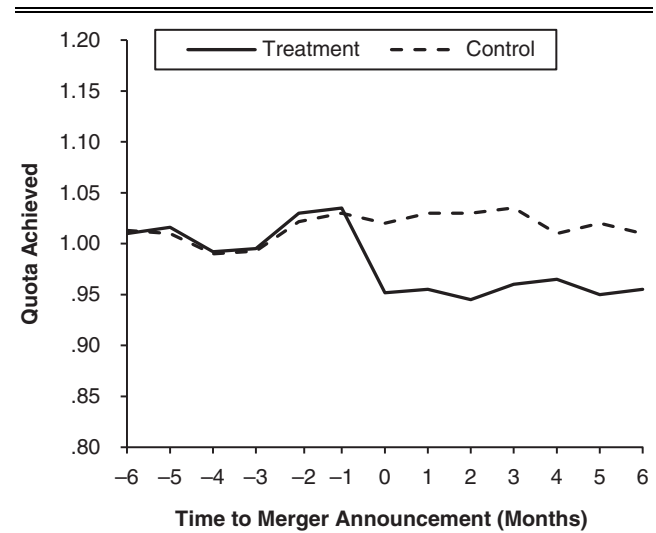
Panel fixed effects difference-in-differences estimation. We next estimated the treatment effect through fixed effects difference-in-differences estimation. The results of this estimation in Table 2 reveal a significant treatment effect (Model 1: $\beta = -.749, p < .01$), in support of H_{1a} , because an M&A with a poorer-image firm reduces salespeople's OI. Then, we tested H_{1b} through mediation analysis (Preacher and Hayes 2004). The results show that the merger had an indirect effect on quota achieved ($-.078, p < .01$) and revenue ($-3,199.3, p < .01$), confirming H_{1b} . Therefore, combining these results, we find support for our central hypothesis.

Multilevel analysis. In the next step, we considered the main effects of tenure, managerial actions, and social inclusion and the heterogeneous treatment effects on OI (Table 2, Model 2). As tenure increased, so did OI ($\beta = .001, p < .05$). Salesperson OI also increased when managers emphasized the culture ($\beta = .202, p < .01$) as well as the distinctive ($\beta = .141, p < .05$) and strategic ($\beta = .130, p < .05$) elements of the organization. The extent to which salespeople felt socially included also increased OI ($\beta = .462, p < .001$).

Managers' communication emphases had differential moderating effects. In support of H_{2a} , when managers emphasized the organizational culture, the harm to their salespeople's OI was exacerbated ($\beta = -.125, p < .05$). However, emphasizing the distinctiveness did not affect salespeople's OI ($\beta = -.104$, n.s.), so we cannot confirm H_{2b} . In support of H_{2c} ,

Figure 3

AVERAGE SALESPERSON PERFORMANCE BEFORE AND AFTER MERGER ANNOUNCEMENT



emphasizing the strategic intent mitigated the dilution in salespeople's OI ($\beta = .224, p < .001$). In addition to these sense-giving effects, we find that salespeople's sense making influences the change in their OI. The dilution in OI due to the merger becomes even more dramatic when salespeople's tenure is longer ($\beta = -.001, p < .01$), in support of H_3 . In support of H_4 , the results show that salespeople who felt socially included exhibited less dilution in their OI after the merger ($\beta = .227, p < .001$). Our moderated-mediation analyses, provided in Web Appendix W4, confirm these findings.

As a robustness check, we followed the guidelines that Bertrand, Duflo, and Mullainathan (2004) prescribe to provide more confidence in our difference-in-differences specification. As Model 3 of Table 2 shows, our results are consistent under a two-period difference-in-differences specification. We also used the instrumental variable approach to test the robustness of our main finding. Web Appendix W4 provides details of these specifications.

Discussion

In Study 1, we observed two phenomena from an M&A between a national and a regional retailer. First, the national retailer's decision to merge with a regional retailer with a poorer image, though for expansion reasons, negatively affected salespeople's OI with the national firm and, subsequently, their selling performance. Second, we found that managers' sense giving and salespeople's sense making differentially moderated the OI-dilution effect of the merger.

STUDY 2: A SCENARIO-BASED EXPERIMENT

Study 2 has three objectives. First, we address Study 1's limitations by explicitly measuring the firms' external image and use a cross-industry sample. Second, we attempt to replicate the OI-dilution effect after a merger with a poorer-image firm (H_1) and the moderating effects of salesperson tenure and perceived social inclusion (H_3 and H_4). Third, we examine

Table 2
MERGER, SALESPERSON, MANAGER, AND SOCIAL EFFECTS ON SALESPERSON OI

Variables	(1) Fixed Effects Diff.-in-Diff.	(2) Multilevel Diff.-in-Diff.	(3) Diff.-in-Diff. with Two Periods	Hypotheses
Constant	6.173*** (.072)	6.547*** (.188)	6.464*** (.188)	
<i>Merger Effects</i>				
Treatment dummy		-.159 (.091)	-.051 (.089)	
Treatment effect	-.749*** (.105)	-1.272*** (.176)	-1.353*** (.194)	H _{1a} : supported
<i>Salesperson Effects (Sense Making)</i>				
Tenure		.001** (.000)	.001** (.000)	
Social inclusion		.462*** (.026)	.375*** (.056)	
<i>Manager Effects (Sense Giving)</i>				
Emphasis on org. culture		.202** (.075)	.243*** (.053)	
Emphasis on org. distinctiveness		.141* (.062)	.146* (.067)	
Emphasis on strategic intent		.130* (.056)	.129** (.043)	
<i>Interactive Effects</i>				
Treatment × Tenure		-.001** (.000)	-.001** (.000)	H ₃ : supported
Treatment × Social inclusion		.227*** (.051)	.256*** (.073)	H ₄ : supported
Treatment × Emphasis on org. culture		-.125* (.057)	-.144* (.068)	H _{2a} : supported
Treatment × Emphasis on org. distinctiveness		-.104 (.135)	-.139 (.130)	H _{2b} : not supported
Treatment × Emphasis on strategic intent		.224*** (.055)	.261*** (.057)	H _{2c} : supported
Time fixed effects	Yes	Yes	Yes	

* $p < .05$.

** $p < .01$.

*** $p < .001$.

Notes: Standard errors (clustered whenever applicable) are in parentheses.

how M&As with a better-image firm influence salesperson OI (see lower half of Figure 1).

Hypothesis Revisited

We again evoke the three motives of identification with an organization (i.e., self-esteem, self-verification, and self-distinctiveness) to develop the hypothesis about the effect of M&As with a better-image firm on salesperson OI. Specifically, enhancement in the external image of the focal firm in M&As with a better-image firm has a positive impact on salespeople's self-esteem motives, improving their level of identification with the focal firm. As the case when merging with a poorer-image firm, merging with a better-image firm can still create a discontinuity in the attributes salespeople associate with their firm. Thus, they will still seek self-verification and feedback from others to confirm their perceptions of self. However, the external feedback received in the case of merging with a better-image firm should be positive, improving perceptions of self and drawing salespeople closer to the organization. In contrast, the impact of merging with a better-image firm on salespeople's self-distinctiveness motives is less clear. Merging with any firm, whether it has a positive or a negative image, is likely to change the distinctive elements of the firms. Nevertheless, the positive influence of M&As with a better-image firm on salespeople's OI through self-esteem and self-verification motives is likely to be stronger than the mixed impact on self-distinctiveness motives.

H₅: When their employing organization merges with an organization with a better image, salespeople's OI strengthens.

Experimental Design

We conducted an experiment with participants from the online labor system Amazon Mechanical Turk. The experiment

was a between-subjects design with random assignment to one of the two conditions: M&A with a (1) poorer-image organization or (2) better-image organization. Because Amazon Mechanical Turk workers have various backgrounds, we carefully screened the subject pool by restricting participation to only those who were currently employed as frontline employees spending at least 25% of their work time with customers. We recruited 235 participants, each representing a different firm and a wide range of industries and selling situations (business to business and business to customer). Study 2 mirrored Study 1 in terms of the firm's reason for the M&A, the firm's communication to employees, and study measures, with two important differences: we (1) measured external image to strengthen our theoretical claims and (2) included a condition in which the focal firm merged with a firm with a better external image. Study procedure, manipulation checks, screening criteria, and descriptives are available in Web Appendix W5.

Results

We found that in mergers with a poorer-image firm, salespeople's OI decreased (diff. in OI = $-.904$, $p < .001$), again confirming H_{1a}. In mergers with a better-image firm, their OI increased (diff. in OI = $.497$, $p < .001$), in support of H₅. To probe further how a merger affects image versus job uncertainty, we performed a multivariate analysis of variance with OI and job satisfaction as dependent variables. We find a significant effect of a merger on the combined dependent variables ($F(2, 232) = 14.401$, $p < .001$; Wilks' $\lambda = .890$). However, the test of the between-subject effects shows that a merger affects OI ($F = 58.001$, $p < .001$) but not job satisfaction ($F = .972$, n.s.). We also tested the moderating effects of tenure and social inclusion. Reconfirming H₃ and H₄, we find that in mergers with a poorer-image firm, tenure exacerbates the OI-dilution effect ($\beta = -.005$, $p < .01$), whereas social

inclusion mitigates it ($\beta = .345$, $p < .001$). However, in mergers with a better-image firm, these moderating effects are not significant.

Discussion

The findings of Study 2 complement Study 1's findings in three ways. First, we directly tested the hypothesized impact of external image mismatch, as we explicitly measured external image. Second, we successfully replicated the findings of the main effect of M&As with a poorer-image firm and the moderating effects of two sense-making variables. Importantly, we again show that even when salespeople do not experience job uncertainty, as evident by their stable job satisfaction, image uncertainty stemming from M&As can affect their OI. Third, we found that the OI-enhancement effect of M&As with a better-image firm is weaker than the OI-dilution effect of M&As with a poorer-image firm.

GENERAL DISCUSSION

Theoretical Implications

M&As involving external image mismatch and the sales force. The marketing literature, which has primarily adopted the macro-level approach to studying M&As, has not thoroughly investigated the impact of external image mismatch on the sales force, an important internal stakeholder during M&As. In this research, we depart from the focus in marketing and allied fields that attributes lower sales revenues and market shares following M&As to strategic fit and sociocultural problems. Our micro-level research reveals an alternative explanation: M&As that involve a mismatch of the external image can immediately affect frontline salespeople's OI, which in turn influences selling performance. We further show that the OI-dilution effect in M&As with a poorer-image firm is stronger than the OI-enhancement effect in M&As with a better-image firm. These findings enrich the current understanding of the perceptions and behaviors of customer-facing salespeople, an important stakeholder, during M&As.

Internal marketing and managerial communication during M&As. Prior research on internal marketing has suggested that leaders can build employees' OI through communication of organizational culture (Wieseke et al. 2009). In contrast, our findings indicate that as sense givers, managers who emphasize organizational culture during M&As reinforce the existing organizational identity, exacerbating rather than buffering the OI-dilution effect among salespeople. However, managers' emphasis on strategic intent destabilizes the existing organizational identity, thereby buffering the adverse effect. Thus, our findings show that communication of internal marketing envoys (e.g., sales managers) that works during stable times may backfire in times of change, such as M&As.

Types of, and remedies for, salesperson uncertainty during M&As. Our studies reveal that the OI-dilution effect of M&As that involve a poorer-image firm arises from image uncertainty owing to the mismatch of the external image, rather than job uncertainty, as suggested in prior research. Furthermore, both studies confirm that salespeople's sense making during M&As is contingent on their tenure and perceptions of social inclusion. These findings extend prior research on how employees cope with organizational change and its associated uncertainty (Elstak et al. 2015).

Managerial Implications

M&As and the sales force. Our findings suggest that, in addition to paying attention to strategic integration and internal cultural issues as prior research suggests, sales managers should be cognizant of the OI-changing impact of the mismatch of the external image on their salespeople. Given that customers often develop perceptions of the firm through their interactions with frontline employees (e.g., salespeople), the contagious effect of low-OI salespeople on customers is too important to be ignored. Furthermore, the stability of job satisfaction during M&As is not quite diagnostic of the potentially adverse impact of M&As. Even salespeople who are satisfied with their job can provoke a decline in the firm's sales revenues and market share because of their disenchantment with the merged organization.

M&As and organizational external image. Our findings indicate that M&As that involve external image mismatch can have deleterious effects. This insight is important because (1) a firm generally does not measure how its internal stakeholders (e.g., salespeople) think about its external image and (2) consumer-generated media increasingly takes away the firm's ability to control its external image. Therefore, managers who develop a systematic way to monitor internal stakeholders' perceptions of how customers view the firm and assess the compatibility of external images of itself and the acquired firm will likely be more successful during M&As.

Managers' communications during M&As: remedies or poison? Managers undeniably help build their salespeople's OI though the way they think, feel, and act (Wieseke et al. 2009). However, our findings reveal that the same internal marketing actions that enhance OI in stable periods can be detrimental in times of change. Specifically, we show that a managerial emphasis on organizational culture or distinctiveness can promote OI in general but exacerbate the decline in OI during M&As. In contrast, an emphasis on strategic intent promotes OI in both stable and dynamic environments. The substantial performance implications of OI suggest that managers should be aware of the possible negative effects of their actions on OI.

Salesperson tenure and social inclusion: a blessing or a curse? Our findings show that the OI of longer-tenured salespeople is more susceptible to disruptive change. Thus, during times of organizational change, managers should focus on these salespeople. Our study also underscores the importance of managerial action to build camaraderie, because salespeople who are socially included exhibit higher OI before M&As and are less negatively affected by M&As.

Limitations and Further Research

Our research has several limitations. In both studies, we focused on salespeople employed by the acquiring firm. Further research could examine how salespeople of the acquired firm reconstruct their OI with the new firm. In addition, we focused on salespeople's identification with the overall organization. However, identification can occur at different levels of the organization (Bartels et al. 2007). Examining OI at different levels (e.g., the store, the region) could determine which level aids the most in shielding OI during organizational changes.

We focused on how M&As result in OI changes, which in turn influence performance during the period before actual

integration. However, salespeople's customer orientation and motivation might also be important outcomes to examine. Moreover, it would be valuable to understand the dynamics of OI before, during, and after the integration of the merging entities. Such an examination could also investigate whether and when salesperson OI can bounce back.

In addition to middle managers, top managers can serve as sense givers during M&As. However, we did not have a direct measure of communication from top management during the M&A in Study 1. Other factors, such as the store managers' OI and the relative size of the merging organizations (e.g., Barger, Lehn, and Smith 2015), could also influence OI and M&A success. Additional research might address these issues by measuring both salespeople's and their managers' OI; accounting for the relative size of the two merging firms; and examining the dynamic impact of the timing (e.g., before or after an M&A, or both), level of sense givers (top management, middle management, direct supervisor), and frequency and change in the content of managerial communication as M&As unfold. Finally, uncertainty could occur in the form of image, financial, and/or job. Although our empirical context singles out image uncertainty and allows us to examine it rigorously, research on how salespeople cope with various types of changes simultaneously would shed useful light on this important subject.

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